

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

RGC COFFEE INC., *Claimant*

v.

MEDITERRANEAN SHIPPING COMPANY, *Respondent*.

DOCKET NO. 1993(I)

Served: July 19, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING CONFIDENTIAL SETTLEMENT AND DISMISSING PROCEEDING

On May 17, 2023, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant RGC Coffee Inc. (“RGC”) had filed an informal complaint against Mediterranean Shipping Company (“MSC”). Claimant alleges that MSC violated 46 U.S.C. § 41102(c) in connection with the transportation of its cargo from Cartagena, Colombia to Seattle, Washington.

The Secretary instructed MSC to file a response to the Claim by June 12, 2023, and to indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission’s Rules of Practice and Procedure (46 C.F.R. § 502.301-305). The Secretary also assigned the proceeding to the Chief Administrative Law Judge to designate a Small Claims Officer to adjudicate the proceeding.

Prior to the deadline to submit a response to the complaint, MSC requested and was granted additional time extending the deadline to submit its response to July 3, 2023. On June 22, 2023, the parties submitted Claimant’s motion to dismiss, together with a copy of their settlement agreement. MSC has not yet filed a response to the complaint and did not object to the adjudication of this proceeding under the informal procedures. Accordingly, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures on July 19, 2023.

Claimant asks that its complaint against MSC be dismissed with prejudice based on a settlement agreement between the parties resolving the issues in dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted

with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's regulations allow settlements by litigating parties; however, the Commission requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maher Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In reviewing settlement agreements, the Commission is guided by its "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Maher Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). However, if a "proffered settlement does not appear to violate any law or policy and is free of fraud duress, undue influence, mistake or other defect which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Id.* at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988).

The parties agree that "the amount or value of the consideration being exchanged pursuant to this Settlement Agreement is the result of negotiation based on the Parties' evaluation of the risks and costs associated with litigation and is accordingly deemed mutually just and appropriate by the Parties." Settlement Agreement at 3. Claimant represents that in entering into the settlement agreement it "has relied upon all necessary advice, including from its own legal counsel and that the terms of this Settlement Agreement have been completely read and explained to it by its advisors and/or attorneys, and that those terms are fully understood and voluntarily accepted by it." Settlement Agreement at 2.

A review of the settlement agreement, which is signed by all parties, does not show any indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The terms appear to be fair, reasonable, and adequate. Accordingly, the parties' settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

Although the parties did not explicitly request confidentiality, the Settlement Agreement is titled as a “Confidential Settlement Agreement and Release” and “[e]ach party acknowledges the confidential nature of the existence and terms and conditions of this Agreement” and hold each other responsible for any breach of the confidential information in the Settlement Agreement. Settlement Agreement at 2. It is thus presumed that the parties are seeking confidentiality for their agreement. “If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68, 70 n.7 (ALJ 2000) (internal citations omitted); *Marine Dynamics v. R.T.M Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *International Association of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991). The parties’ implied request to keep their settlement agreement terms confidential is reasonable and thus granted.

Upon consideration of the proposed settlement and Claimant’s motion to dismiss its Claim, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.



Theresa Dike
Small Claims Officer